

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16

HON. Craig L. Griffin

(Hearing this calendar for HON. Donald F. Gaffney)

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard
on Wednesdays at 9:00 a.m.

Date: December 06, 2023

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Coast Surgery Center vs Blue Cross of California	<u>1. Demurrer to Amended Complaint</u> <u>2. Motion to Strike Portions of Complaint</u> <u>3. Joinder</u> <u>4. Case Management Conference</u> TENTATIVE RULING: The Demurring Defendants filed a demurrer to the fifth, sixth, seventh, eighth, tenth, and fourteenth causes of action. Specially appearing Defendant Blue Cross and Blue Shield of North Carolina filed a joinder in the Demurring Defendants' demurrer. A. <u>Fifth and Sixth Causes of Action for Interference with Existing Business Relationships and Prospective Business Relationships</u> The elements of intentional interference with prospective economic advantage are "(1) the existence, between the plaintiff and some third party, of an economic relationship that contains the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentionally

wrongful acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm proximately caused by the defendant’s action.” (*Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc.* (2017) 2 Cal.5th 505, 512; *accord Crown Imports, LLC v. Superior Court* (2014) 223 Cal.App.4th 1395, 1404; *see Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1158-1159 (interfering with the plaintiff’s economic relationship with a third party is wrongful only if “the defendant engaged in an independently wrongful act”).)

Defendants argue that Plaintiff has not sufficiently alleged that Defendants intentionally engaged in wrongful conduct designed to disrupt Plaintiff’s economic relationship with another party.

Plaintiff added the following allegation in an attempt to satisfy this element:

123. Because of Coast’s inability to collect reimbursement from claims, certain physicians are unwilling to work at Coast or refer patients to Coast and certain vendors no longer wish to work with Coast because of its inability to pay outstanding invoices for supplies.

125. Despite Blue Cross’s actual awareness of the existing contractual and/or business relationships between Coast and the providers, the healthcare facilities, and patients in California, Blue Cross intentionally and without justification acted to interfere with these relationships by underpaying Coast and affiliated providers, driving business, and potentially providers, to its own network provider groups.

(SAC, ¶¶ 123 & 125.)

While these allegations may establish that other physicians were unwilling to work with Plaintiff, the allegations admit that the reason was Plaintiff’s inability to pay outstanding invoices for supplies—not due to any interfering act that Defendants intentionally did to disrupt. *Plaintiff cites to Lowell v. Mother's Cake & Cookie Co.* (Ct. App. 1978) 79 Cal. App. 3d 13, 19, for the proposition that a plaintiff adequately alleges a tortious interference claim in its second complaint by alleging that the defendant “interfered” with an agreement to sell by “informing the prospective purchasers that the delivery contract would be

terminated if the Company was sold to a third person”). *Lowell*, however, is distinguishable in that in *Lowell*, the plaintiff alleged an act by defendant that constitutes interference—i.e., affirmatively informing prospective purchasers that a delivery contract would be terminated. Here, Plaintiff does not allege that any of the Defendants affirmatively reached out to physicians to inform them that Plaintiff had an inability to pay for their services.

Plaintiff’s allegations, at most, suggest that Defendants’ intent was to boost profits and/or convince out-of-network providers to become part of the network. Defendants’ conduct, as alleged by Plaintiff does not rise to the level of intentionally attempting to disrupt Plaintiff’s economic relationships with other surgeons, medical personnel, and patients. Plaintiff does not cite any case where a health service provider may sue an insurance company for interference for underpaying claims. The demurrer is **SUSTAINED WITH LEAVE TO AMEND** as to these causes of action.

B. Seventh and Eighth Causes of Action for Fraud and Negligent Misrepresentation.

The elements of fraud are: “(a) misrepresentation, false representation, concealment, or nondisclosure; (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Charnay v. Cobert* (2006) 145 Cal.App.4th 170, 184.)

The elements of negligent misrepresentation are: “[M]isrepresentation of a past or existing material fact, without reasonable ground for believing it to be true, and with intent to induce another’s reliance on the fact misrepresented; ignorance of the truth and justifiable reliance on the misrepresentation by the party to whom it was directed; and resulting damage....” (*Hydro-Mill Co., Inc. v. Hayward, Tilton & Rolapp Ins. Associates, Inc.* (2004) 115 Cal.App.4th 1145, 1154.)

Fraud must generally be pleaded with specificity. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.) “The particularity demands that a plaintiff plead facts which show how, when, where, to whom, and by what means the representations were tendered.” (*Cansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1469.) As one court explained, “this statement of the rule reveals that it is intended to apply to affirmative misrepresentations.” (*Alfaro* (2009) 171 Cal. App. 4th at 1384.) One of the purposes of the specificity requirement is “notice to the defendant, to ‘furnish the

	defendant with certain definite charges which can be intelligently met.” (<i>Id.</i>) Defendants argue that Plaintiff’s fraud claims are barred by the economic loss rule and/or that Plaintiff has not adequately pled fraud with the requisite specificity. <i>Economic Loss</i> Under the economic loss rule, where a purchaser’s expectations in a sale are frustrated because the product is not working properly, his remedy is in contract alone, for he has suffered only “economic” losses. (<i>Robinson Helicopter, Inc. v. Dana Corp</i> (2004) 34 Cal.4th 979, 988 (<i>Robinson</i>)). “The economic loss rule requires a purchaser to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise.” (<i>Ibid.</i>) Thus, “[i]n general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (<i>Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 922 (<i>Sheen</i>)). In other words, “[t]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties.” (Rest., § 3.)” (<i>Sheen</i>, at p. 923.) “Quite simply, the economic loss rule ‘prevent[s] the law of contract and the law of tort from dissolving one into the other.’” (<i>Robinson</i>, at p. 988.) While Defendants contend that Plaintiff’s claims are based on a breach of contract, Plaintiff’s amended allegations go further than a breach of contract, but rather attempt to allege fraud in the inducement. Specifically, rather than merely pleading that Defendants failed to pay, Plaintiff alleges that Defendants falsely induced Plaintiff into performing services by agreeing to one rate, but then switching the rate after Plaintiff provided said services—e.g., a “bait and switch.” The economic loss rule does not apply where a contract “was fraudulently induced.” (<i>Robinson, supra</i>, 34 Cal.4th at p. 990.) The court, therefore, does not agree that the fraud claims are absolutely barred by the economic loss rule. <i>Specificity of Allegations</i> Defendants argue that Plaintiff has not pled fraud with the requisite specificity. Exhibit A to the SAC, which was incorporated in Plaintiff’s allegations, however, details the date, Defendant, name of representative who made the representation, and the alleged misrepresentation about which Plaintiff bases its fraud claim.
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While Defendants contend that fraud cannot be based on a future promise to perform, Defendants are misinterpreting Plaintiff's allegations. Plaintiff alleges that at the time that Defendants made representations to Plaintiff, they allegedly did so to induce Plaintiff to perform services, whilst not intending to pay the higher rate. "A promise of future conduct is actionable as fraud only if made without a present intent to perform. A declaration of intention, although in the nature of a promise, made in good faith, without intention to deceive, and in the honest expectation that it will be fulfilled, even though it is not carried out, does not constitute a fraud. Moreover, something more than nonperformance is required to prove the defendant's intent not to perform his promise. . . ." (Magpali v. Farmers Group, Inc. (1996) 48 Cal.App.4th 471, 481.)

Here, the basis of Plaintiff's fraud and negligent misrepresentation claims are based on allegations that Defendants "falsely represented to [Plaintiff] that payment . . . would be based on the UCR rates." (SAC, ¶ 134 & Ex. A). Plaintiff alleges that Defendants knew at the time that they made those representations that they had no intention of paying the UCR rate, but a lower, undisclosed rate. (SAC, ¶¶ 140-142.) Plaintiff's allegations, therefore, do not allege nonperformance (i.e., that Defendants failed to pay the amount due). Rather, Plaintiff's allegations allege that Defendants had a present intent at the time they made representations to Plaintiff that Defendants would not pay the UCR rate. The court is unsure of the evidentiary facts and what was actually represented to Plaintiff—i.e., that Plaintiff would absolutely receive the UCR rate or whether it was merely implied during the phone calls. (See e.g., (*RSB Vineyards, LLC v. Orsi* (2017) 15 Cal.App.5th 1089, 1102 ("A cause of action for misrepresentation requires an affirmative statement, not an implied assertion.")) However, the court need not decide the substantive merits at this time as discovery will reveal the weight of Plaintiff's evidence. At the pleading stage, however, Plaintiff's allegations are sufficient to give Defendants notice of the basis of Plaintiff's fraud claims with the requisite specificity. The demurrer to these causes of action are **OVERRULED**.

C. Tenth Cause of Action for UCL Claim

California's Unfair Competition Law creates a cause of action for business practices that are (1) unlawful, (2) unfair, or (3) fraudulent. (Bus. & Prof. Code § 17200.) Each prong of the UCL provides a separate and distinct theory of liability. (*South Bay Chevrolet v. Gen. Motors Acceptance Corp.* (1999) 72 Cal.App.4th 861.)

The court finds that Plaintiff has sufficiently alleged a cause of action for unlawful or unfair competition. Plaintiff has sufficiently alleged fraud claims. Further, the SAC alleges that Defendants' alleged conduct constitute unfair payment patterns under the Knox-Keene Act. (SAC, ¶¶ 161, 162.) The demurrer to this cause of action is **OVERRULED**.

D. Fourteenth Cause of Action for Declaratory Relief

Under Code of Civil Procedure section 1060, "[a]ny person... who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property... may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action... in the superior court for a declaration of his or her rights and duties in the premises..." "The declaratory relief statute should not be used for the purpose of anticipating and determining an issue which can be determined in the main action. The object of the statute is to afford a new form of relief where needed and not to furnish a litigant with a second cause of action for the determination of identical issues... Under section 1061 of the Code of Civil Procedure the court may refuse to exercise the power to grant declaratory relief where such relief is not necessary or proper at the time under all of the circumstances. The availability of another form of relief that is adequate will usually justify refusal to grant declaratory relief." (General of America Ins. Co. v. Lilly (1968) 258 Cal.App.2d 465, 470-471.) Further, "[w]here... a party has a fully matured cause of action for money, the party must seek the remedy of damages, and not pursue a declaratory relief claim." (*Canova v. Trs. Of Imperial Irrigation Dist. Emp. Pension Plan* (2007) 150 Cal. App. 4th 1487, 1497.)

The court **OVERRULES** the demurrer as to this cause of action. The court finds that the basis of Plaintiff's claims refer to a declaration of rights relating to money allegedly owed to Plaintiff for past services rendered *and for further services rendered*. (See SAC, ¶ 109 ("...as well as a declaration that Blue Cross is required to pay to Coast at a usual and customary rate for claims submitted thereafter.") Plaintiff's other causes of action offer Plaintiff an adequate remedy for any alleged breach of contract for past conduct, but do not prevent the same claims from arising in the future.

MOTION TO STRIKE

A court may strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading

		not drawn or filed in conformity with the laws of this state, a court rule or an order of the court. Cal. Civ. Proc. Code § 436. “Irrelevant” matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not support by the allegations of the complaint. Cal. Civ. Proc. Code § 431.10 (b). Given the court’s ruling on the demurrer, the court rules on Defendants’ motion to strike as follows: • Allegations referring to punitive damages: DENIED. The court found that Plaintiff’s allegations were sufficient to allege fraud for which punitive damages are available as relief. • Allegations referring to attorneys’ fees: GRANTED as to ¶ 119 with leave to amend. Plaintiff contends that it is entitled to attorneys’ fees under the unfair competition statute. However, in ¶ 119, Plaintiff seeks attorneys’ fees for a different cause of action (not Plaintiff’s unfair competition claim). The motion is DENIED as to ¶ 5 and Prayer for Relief, ¶ 5, which generally alleges that Plaintiff is entitled to attorneys’ fees where available (e.g., for an unfair competition cause of action.) The court cannot determine the merits of whether or not, at this time, Plaintiff’s claim is sufficient to warrant attorneys’ fees under the private attorney general statute, which depends on the outcome of Plaintiff’s case—i.e., whether Plaintiff’s case focuses more on recovering for a personal, specific injury or one that affects change to others. However, at this time, the court cannot determine that, as a matter of law, Plaintiff may or may not be entitled to attorneys’ fees. • Exhibit A: The motion is DENIED. Exhibit A is relevant and provides the evidentiary basis for Plaintiff’s claims. Moving party to give notice.
2	Kia vs. Tabatabai	1. <u>Demurrer to First Amended Complaint</u> 2. <u>Motion to Strike Complaint</u> 3. <u>Status Conference</u> TENTATIVE RULING: Defendants Mohammad Tabatabai, Sanaz Sarbasi, Shayan Doosty, Michael Hsu, and Peri, Inc. demur to the first through seventh causes of action of Plaintiffs Mike Kia aka Fariborz Wosoughkia and MRMK, LLC’s First Amended Complaint (“FAC”). For the

following reasons, the demurrer to the first, second, third, fourth, fifth causes of action are **SUSTAINED**. The demurrer to the sixth cause of action for unjust enrichment is **OVERRULED** as to Defendant Tabatabai and **SUSTAINED** as to the other Defendants. The demurrer to the seventh cause of action is **SUSTAINED** to the extent it seeks declaratory relief, and **OVERRULED** to the extent it seeks an accounting.

In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-05.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.)

Although courts should take a liberal view of inartfully drawn complaints, (see Code Civ. Proc., § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought, (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413). Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; see Code Civ. Proc., § 425.10, subd. (a).)

First Cause of Action for Breach of Contract

The FAC alleges Plaintiffs Kia and MRMK entered into numerous oral and written contracts with Defendants to purchase shares of Peri, Inc. with the purpose of future proceeds generated by Peri, Inc. for the benefit of Kia and MRMK as well as consulting agreements, and attaches copies of the agreements as Exhibits 1-8. (FAC ¶ 34.)

“[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff.” (*Oasis West Realty, LLC v. Goldman*

(2011) 51 Cal.4th 811, 821.) “A contract is either express or implied.” (Civ. Code, § 1619.) The terms of an express contract are evidenced by words (Civ. Code, § 1620), while an implied contract is based on conduct (Civ. Code, § 1621). Moreover, the Court of Appeal has recognized, “If written or oral contracts ... exist, there [can] be no implied contracts.” (*Varni Bros. Corp. v. Wine World, Inc.* (1995) 35 Cal.App.4th 880, 889.)

Additionally, to state a claim for a breach of contract, “it is absolutely essential to plead the terms of the contract either [verbatim] or according to legal effect.” (*Twaite v. Allstate Insurance Co.* (1989) 216 Cal.App.3d 239, 252.) Here, Plaintiffs failed to allege the specific terms of the contract or contracts that Defendants are alleged to have breached. The FAC alleges multiple written contracts, as well as unspecified oral agreements. (FAC ¶ 34.) The court cannot deduce which terms of which contracts Defendants allegedly breached from the facts alleged. (*Bustamante v. Intuit, Inc.* (2006) 141 Cal.App.4th 199, 209 [a contract will be enforced if the court is able to ascertain the parties’ obligations and to determine whether those obligations have been performed or breached”].) The FAC fails to sufficiently allege the which parties were bound by each agreement, which terms were breached, and by whom.

Finally, it may be noted that “[i]t is elementary that a party asserting a claim must have standing to do so. In asserting a claim based upon a contract, this generally requires the party to be a signatory to the contract, or to be an intended third party beneficiary.” (*Berclain America Latina v. Baan Co.* (1999) 74 Cal.App.4th 401, 405.) Plaintiff Kia does not appear to have signed any agreements in his individual capacity.

The demurrer to the first cause of action is **SUSTAINED**.

Second Cause of Action for Breach of the Implied Covenant for Good Faith and Fair Dealing

The second cause of action for breach of the implied covenant of good faith and fair dealing alleges that Defendants’ failure to secure technology contracts for the benefit of Peri, Inc., its shareholders, and investors breached the implied covenant of good faith and fair dealing. (FAC ¶ 42.)

“The essential elements of a breach of contract claim are: ‘(1) the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to plaintiff.’

” (*Hamilton v. Greenwich Investors XXVI, LLC* (2011) 195 Cal.App.4th 1602, 1614.) While the third element of a breach of contract cause of action is the defendant’s actual breach, a breach of the implied covenant of good faith and fair dealing cause of action requires proof the defendant unfairly interfered with plaintiff’s right to receive the benefits of the contract. The implied covenant is supplemental to the express contractual covenants. (*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031-1032.) It imposes upon each contracting party the duty to do everything the contract presupposes he or she will do to accomplish its purpose but cannot be used to create obligations not contemplated by the contract. (*Pasadena Live v. City of Pasadena* (2004) 114 Cal.App.4th 1089, 1093-1094.)

This cause of action presupposes a contract between the parties. The FAC fails to state facts sufficient to allege a contract between Plaintiffs and Defendants. Accordingly, the demurrer to the second cause of action is **SUSTAINED**.

Third Cause of Action for Fraud

The third cause of action for fraud alleges Defendants each made material representations that any funds invested in Peri, Inc. would be used for the furtherance of Peri, Inc. and the implicit goal of creating profits for shareholders. (FAC ¶ 45.) The FAC further alleges Defendants knowingly represented to Plaintiffs that the invested funds would be used towards the goal of securing contracts for Peri, Inc., and to generate profits for Peri, Inc. and its investors, and that Defendants knowingly intended to defraud Plaintiffs by using the invested funds for Defendants own personal gains. (*Id.* at ¶ 46.)

The elements of fraud by misrepresentation are: (1) a misrepresentation; (2) knowledge of its falsity; (3) intent to induce reliance on the misrepresentation; (4) justifiable reliance on the misrepresentation; and (5) resulting damages. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Each element of an intentional misrepresentation cause of action must be pleaded with specificity. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1166.) General and conclusory allegations do not suffice. (*Lazar*, 12 Cal.4th at 645.) The particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered. (*Id.*)

The FAC fails to plead a fraud cause of action with the required specificity. The FAC does not allege the specific misrepresentations each Defendant made to each Plaintiff, or when, where, and by what means the representations were tendered. The demurrer to the third cause of action is **SUSTAINED**.

Fourth Cause of Action for Constructive Fraud

The fourth cause of action for constructive fraud alleges Plaintiffs entered into a fiduciary relationship with each of the Defendants where Defendants accepted funds from Plaintiffs, that Defendants breached their duties of loyalty to Plaintiffs by acting for their own personal gain. (FAC ¶¶ 50-51.)

The elements of the cause of action for constructive fraud are: (1) fiduciary relationship; (2) breach of fiduciary duty; (3) intent to deceive, and (4) reliance and resulting injury (causation). (*Younan v. Equifax Inc.* (1980) 111 Cal.App.3d 498, 516 fn. 14.)

“Constructive fraud consists of: [¶] 1. In any breach of duty which, without an actually fraudulent intent, gains an advantage to the person in fault, or any one claiming under him, by misleading another to his prejudice, or to the prejudice of any one claiming under him; or, [¶] 2. In any such act or omission as the law specially declares to be fraudulent, without respect to actual fraud.” (Civ. Code, § 1573.) “A breach of a fiduciary duty usually constitutes constructive fraud. [Citation.] Constructive fraud, like actual fraud, must be pleaded with specificity. [Citation.]” (*Knox v. Dean* (2012) 205 Cal.App.4th 417, 434; see also *Schauerv. Mandarin Gems of California, Inc.* (2005) 125 Cal.App.4th 989, 960-961 [every element of a fraud cause of action must be alleged with factual specificity, and the policy of liberal construction of pleading will not be invoked.])

The demurrer to the fourth cause of action is **SUSTAINED**. The FAC does not plead sufficient facts to allege a fraud with the required specificity or to allege fiduciary relationships between Plaintiffs and each of the Defendants.

Fifth Cause of Action for Breach of Fiduciary Duty

“ ‘The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach. [Citation.]’ [Citation.]” *Knox v. Dean* (2012) 205 Cal.App.4th 417, 432. For a fiduciary duty to exist, a person “must either knowingly undertake to act on behalf

and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.” *City of Hope Nat’l Med. Ctr. v. Genentech, Inc.* (2008) 43 Cal.4th 375, 386. Traditional examples of fiduciary relationships in the commercial context include trustee/beneficiary, directors and shareholders of a corporation, business partners, joint adventurers, and agent/principal.” (*Wolf v. Superior Court* (2003) 107 Cal.App.4th 25, 29 (*Wolf*).) “ ‘[B]efore a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.’ ” (*Oakland Raiders v. National Football League* (2005) 131 Cal.App.4th 621, 632.)

The fifth cause of action alleges Plaintiffs and Defendants entered into a fiduciary relationship where Defendants accepted funds from Plaintiffs and provided shares to Peri, Inc. (FAC ¶¶ 23, 56.)

The demurrer to the fifth cause of action for breach of fiduciary duty is **SUSTAINED**. The allegation that Defendants are the agents, servants, employees, partners, members, shareholders, officers, directors, joint venturers, and alter egos of each other (see FAC ¶ 11) is conclusory and not supported by any alleged facts. Although the FAC alleges Defendant Hsu is a CFO of Peri, Inc. (FAC ¶ 21), there are no allegations identifying any breaches by Hsu. Additionally, the FAC does not allege damages from the breach of fiduciary duty to Plaintiffs as shareholders.

Sixth Cause of Action for Unjust Enrichment

“[T]here is no cause of action in California for unjust enrichment.” (*Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793.) Unjust enrichment is synonymous with restitution. (*Dinosaur Development, Inc. v. White* (1989) 216 Cal.App.3d 1310.)

“There are several potential bases for a cause of action seeking restitution. For example, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason. [Citations.] Alternatively, restitution may be awarded where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. In such cases, the plaintiff may choose not to sue in tort, but instead to seek restitution on a quasi-contract theory.... [Citations.] In such cases, where appropriate, the law will imply a contract (or rather, a

quasi-contract), without regard to the parties' intent, in order to avoid unjust enrichment." (*McBride v. Boughton* (2004) 123 Cal.App.4th 379, 388.)

"Under the law of restitution, '[a]n individual is required to make restitution if he or she is unjustly enriched at the expense of another. [Citations.] A person is enriched if the person receives a benefit at another's expense. [Citation.]' [Citation.] However, '[t]he fact that one person benefits another is not, by itself, sufficient to require restitution. The person receiving the benefit is required to make restitution only if the circumstances are such that, as between the two individuals, it is *unjust* for the person to retain it. [Citation.]' " (*McBride*, 123 Cal.App.4th at 389.) As a matter of law, an unjust enrichment claim does not lie where the parties have an enforceable express contract. (*California Medical Assn. v. Aetna U.S. Healthcare of California, Inc.* (2001) 94 Cal.App.4th 151, 172.)

The FAC alleges that as a result of Plaintiffs' investments, Defendants were able to secure contracts and immense profits at the expense of Plaintiffs because Plaintiffs' investments financed technology and business deals that resulted in Defendant Tabatabai's personal gain to the exclusion of other shareholders of Peri, Inc. (FAC ¶¶ 32, 60.) These allegations are sufficient to allege a claim for unjust enrichment against Defendant Tabatabai; the demurrer is therefore **OVERRULED** the demurrer to the sixth cause of action against him. The demurrer to the sixth cause of action is **SUSTAINED** as to Defendants Sanaz Sarbasi, Shayan Doosty, Michael Hsu, and Peri, Inc.

Seventh Cause of Action for Declaratory Relief

Code of Civil Procedure section 1060 permits independent claims for declaratory relief and provides, in relevant part: "Any person interested under a written instrument ... or under a contract, or who desires a declaration of his or her rights or duties with respect to another ... may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time.... The declaration may be had before there has been any

breach of the obligation in respect to which said declaration is sought.” (Code Civ. Proc., § 1060; *Ball v. FleetBoston Financial Corp.* (2008) 164 Cal.App.4th 794, 800.)

The seventh cause of action for declaratory relief alleges that an actual controversy exists between the parties regarding the amount of profits due to Plaintiffs and an accounting of all profits that are/were due to Peri, Inc. and its shareholders. (FAC ¶ 62.) Although Plaintiffs use the phrase “Declaratory Relief” in the title for their cause of action, Plaintiffs clearly seek an accounting. They do not request a declaration of their rights or duties under any purported contracts.

An accounting action “is a proceeding in equity for the purpose of obtaining a judicial settlement of the accounts of the parties in which proceeding the court will adjudicate the amount due, administer full relief and render complete justice.” (*Verdier v. Superior Court in & for City & County. of San Francisco* (1980) 88 Cal.App.2d 527, 531.) “An accounting cause of action is equitable and may be sought where the accounts are so complicated that an ordinary legal action demanding a fixed sum is impracticable.” (*Id.* at 1120.). “An accounting will not be accorded with respect to a sum that a plaintiff seeks to recover and alleges in his complaint to be a sum certain.” (*Id.*) A right to an accounting is derivative and must be based on other claims. (*Id.*, citing *Janis v. Cal. St. Lottery Commission* (1998) 68 Cal.App.4th 824, 833–34.)

The demurrer to the seventh cause of action is **SUSTAINED** to the extent it seeks declaratory relief, and **OVERRULED** to the extent it seeks an accounting.

Should Plaintiffs desire to file an amended complaint that addresses the issues in this ruling, Plaintiffs must file and serve it by December 29, 2023.

Defendants to give notice.

Motion to Strike

Defendants Mohammad Tabatabai, Sanaz Sarbasi, Shayan Doosty, Michael Hsu, and Peri, Inc. move to strike the punitive damages allegations located at page 8, lines 10-12 of the First Amended Complaint, requests for punitive and exemplary damages and attorney’s fees, and Exhibits 1-7. For the following reasons, Defendants’ motion is **DENIED**.

		A party may move to strike a pleading pursuant to Code of Civil Procedure section 435. In turn, Code of Civil Procedure section 436 provides that a court may strike (a) “any irrelevant, false, or improper matter” in a pleading, or strike (b) all or any part of a pleading “not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” In light of the court’s concurrent ruling regarding Defendants’ demurrer, the motion to strike Plaintiffs’ punitive damages allegations, claims for punitive damages and attorneys’ fees, and Exhibits 1-7 is MOOT. Defendants to give notice.
3	Roberto vs. Clever Care of Golden State, Inc.	<u>Demurrer to Complaint</u> TENTATIVE RULING: Defendant Clever Care of Golden State Inc.’s Demurrer to Plaintiff Ronald Roberto’s Complaint is OVERRULED. The Court finds, while Defendant did not meet and confer “in person or by telephone,” as required by section 430.41, subdivision (a) of the Code of Civil Procedure, the parties have made their positions clear, yet they have been unable to resolve their dispute, thus necessitating the Demurrer. The Court GRANTS Defendant’s requests for judicial notice. <u>Standard for Demurrer</u> In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader’s ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-05.) Questions of fact cannot be decided on demurrer. (<i>Berryman v. Merit Prop. Mgmt., Inc.</i> (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (<i>Hall v. Great W. Bank</i> (1991) 231 Cal.App.3d 713, 718 fn.7.) The complaint must be construed liberally by drawing reasonable inferences from the

facts pleaded. (*Rodas v. Spiegel* (2001) 87 Cal.App.4th 513, 517.) However, the court does not consider conclusions of fact, opinions, or allegations which are either contrary to law or to judicially noticed facts, nor does it accept as true adjectival descriptions or unsupported speculation. (*Dominguez v. Bonta* (2022) 87 Cal.App.5th 389, 398.)

Although courts should take a liberal view of inartfully drawn complaints (see Code Civ. Proc., § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413) Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; see Code Civ. Proc., § 425.10, subd. (a).)

First Cause of Action (Sex Discrimination in Violation of FEHA)

Defendant demurs to the first cause of action, arguing Plaintiff failed to identify a single individual outside of his protected class, i.e., a female, who was similarly situated, and who was treated more favorably than him. It also argues, other than the sexual harassment investigation, Plaintiff failed to identify any other alleged discriminatory acts or comments to suggest his termination was due to his sex.

“It is an unlawful employment practice, unless based upon a bona fide occupational qualification, or, except where based upon applicable security regulations established by the United States or the State of California: ... [f]or an employer, because of ... sex, gender, ... to bar or to discharge the person from employment ..., or to discriminate against the person in compensation or in terms, conditions, or privileges of employment.” (Gov. Code, § 12940, subd. (a).)

“To state a prima facie case of gender, race, color, or sexual orientation discrimination under FEHA, a plaintiff must show that: ‘(1) he was a member of a protected class, (2) he was qualified for the position he sought or was performing competently in the position he held, (3) he suffered an adverse employment action ... and (4) some other circumstance suggests discriminatory motive.’ [Citation.] Thus, a plaintiff must establish a causal nexus between the adverse employment action and his protected characteristic. [Citations.]” (*Martin v. Board of Trustees of California State University* (Cal. Ct. App., Nov. 14, 2023, No. B303509) 2023 WL

7537694, at *6, citing *Guz v. Bechtel Nat. Inc.* (2000) 24 Cal.4th 317, 355)

Plaintiff has alleged all of the essential elements to support his cause of action for discrimination based on his sex, as he has alleged:

- Plaintiff was a member of a protected class, i.e., he is a male, and was fired for being a male. (¶ 27.)
- He was performing competently in the position he held. (¶¶ 17-18.)
- He was fired in response to claims he had been staring or leering at other employees. (¶ 19)
- Defendant failed to conduct an adequate investigation, failed to advise Plaintiff's direct supervisors of the allegations against him, failed to provide Plaintiff an opportunity to respond, and was based on allegations of improper behavior that could not have happened, as he was not even at the office at the time of the purported incident. (¶¶ 19-27, 29-32.)

In its Demurrer, Defendant contends that, in order to state sufficient facts to support a FEHA sex discrimination cause of action, Plaintiff was required to allege facts that he was treated less favorably than a female who was similarly situated as he was. However, no such pleading requirement exists. (*Heard v. Lockheed Missiles & Space Co.* (1996) 44 Cal.App.4th 1735, 1754.) Instead, “[a]lthough proof regarding similarly situated employees outside the protected class may be one way of raising an inference of intentional discrimination, *it is not the only way*... as [t]he purpose of the prima facie case is for the plaintiff to produce evidence demonstrating that the employment decision occurred in ‘circumstances which allow the court to infer unlawful discrimination.’ [Citations.]” (*Id.* at p. 1755.)

“To state that a plaintiff may never establish a prima facie case if the plaintiff fails to produce evidence that similarly-situated employees outside the protected class were promoted, restricts unfairly the circumstances from which discrimination may be inferred. [Citation.] Such a requirement also unfairly emphasizes one way of proving intentional discrimination instead of properly focusing upon the pivotal issue in disparate treatment cases—whether a particular individual was discriminated against and why. [Citation.] Although the characteristics of the employee replacing a discharged or demoted employee are certainly relevant in evaluating an employer’s motive for an employment decision, we believe those characteristics go to the weight of the evidence rather

than its legal sufficiency. [Citations.]” (*Heard, supra*, 44 Cal.App.4th at pp. 1755–1756.)

Defendant is also critical that Plaintiff’s discrimination claim is based solely on his speculative belief that the investigation was inadequate, and it implies Plaintiff was required to allege other discriminatory acts or comments. Not so, as “[t]he employee’s burden of proving a prima facie case is not onerous, and very little evidence is required at this step.” (*Zamora v. Security Industry Specialists, Inc.* (2021) 71 Cal.App.5th 1, 37.)

For these reasons, the Court overrules the Demurrer to the first cause of action.

Second Cause of Action (Wrongful Discharge in Violation of Public Policy)

Defendant argues the second cause of action fails because it is derivative of the defective first cause of action.

Because the Court overrules the Demurrer to the first cause of action, it similarly overrules the Demurrer to the second cause of action.

Third Cause of Action (Intentional Interference with Prospective Economic Relations)

Defendant argues Plaintiff has not identified any third party with whom he actually had an economic relationship with, and with whom he had a probability of a future economic benefit. It also argues there are no allegations Defendant knew of any such relationship, and there are no allegations Defendant intentionally disrupted that relationship.

The elements of a cause of action for intentional interference with prospective economic advantage are: “ ‘ (1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant’s knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant.” [Citations.]’ [Citation.]” (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1153.)

“The law precludes recovery for overly speculative expectancies by initially requiring proof the business relationship contained ‘the probability of future economic benefit to the plaintiff.’” [Citations.]” (*Westside Center Associates v. Safeway Stores 23, Inc.* (1996) 42 Cal.App.4th 507, 522.) For example, it is insufficient for a plaintiff to claim defendant’s actions interfered with the plaintiff’s potential economic relationships with the entire market. (*Westside Center, supra*, 42 Cal.App.4th at pp. 523-529.)

Plaintiff alleges he is a licensed insurance agent/broker, he had numerous existing clients, and he believed these clients would be interested in Defendant’s insurance products. (Complaint, ¶¶ 27, 65.) However, Defendant, in its continuing campaign of retaliation, blocked Plaintiff from selling its products to Plaintiff’s clients, which amounted to Plaintiff being blackballed by Defendant. (Complaint, ¶¶ 27, 65.) Defendant’s actions interfered with Plaintiff’s ability to earn a living, (Complaint, ¶ 27.)

Contrary to Defendant’s contention, Plaintiff has adequately identified third parties he had an economic relationship with, namely, his existing clients, who he believed would be interested in Defendant’s insurance products. Although Plaintiff does not explicitly allege Defendant knew of these economic relationships, reading the Complaint as a whole, and all its parts in context, Plaintiff has alleged Defendant knew Plaintiff was attempting to mitigate his damages, and to earn a living by selling Defendant’s insurance products to his clients, yet it intentionally “blackballed” Plaintiff in its continuing campaign of retaliating against Plaintiff.

The Court finds Plaintiff has alleged sufficient facts to support his third cause of action, and it overrules Defendant’s Demurrer to same.

Fourth Cause of Action (Intentional Infliction of Emotional Distress)

Defendant makes two arguments in support of its Demurrer to the fourth cause of action. First, it argues the cause of action is barred by the exclusivity of the Workers’ Compensation Act. Next, it contends Plaintiff has not alleged extreme and outrageous conduct. The Court rejects both arguments.

i. Plaintiff’s Emotional Distress Claim is Not Barred by the Workers’ Compensation Act

When the alleged wrongful conduct occurs at the worksite, and in the normal course of the employer-employee relationship, workers' compensation is the Plaintiff's exclusive remedy for his severe emotional distress. (*Miklosky v. Regents of University of California* (2008) 44 Cal.4th 876, 902-903; accord, *Vasquez v. Franklin Management Real Estate Fund, Inc.* (2013) 222 Cal.App.4th 819, 832-833.)

However, the Court of Appeal for the Fourth District, Division One, more recently held, "absent further guidance from our Supreme Court, we are unwilling to abandon the long-standing view that unlawful discrimination and retaliation in violation of FEHA falls outside the compensation bargain and therefore claims of intentional infliction of emotional distress based on such discrimination and retaliation are not subject to workers' compensation exclusivity. While the Supreme Court in *Miklosy* held that allegations of whistleblower retaliation were insufficient to state an exception to workers' compensation exclusivity, it did not remove the jurisprudential basis on which numerous authorities have held that allegations of FEHA discrimination and retaliation did state such an exception. We therefore adhere to those authorities here." (*Light v. Department of Parks & Recreation* (2017) 14 Cal.App.5th 75, 101; *M.F. v. Pacific Pearl Hotel Management LLC* (2017) 16 Cal.App.5th 693, 700 [citing to *Light*, the M.F. court held "if the complaint states viable claims against Pacific under the FEHA, the workers' compensation exclusivity doctrine presents no bar to M.F.'s claims, and the complaint is not subject to a general demurrer on this ground"].)

"[C]onduct in violation of FEHA is not part of the employment relationship or the compensation bargain at the heart of the workers' compensation system." (*Light v. Department of Parks & Recreation* (2017) 14 Cal.App.5th 75, 100.) "[U]nlawful discrimination and retaliation in violation of FEHA falls outside the compensation bargain and therefore claims of intentional infliction of emotional distress based on such discrimination and retaliation are not subject to workers' compensation exclusivity. (*Id.* at p. 101; see *Smith v. International Brotherhood of Electrical Workers* (2003) 109 Cal.App.4th 1637, 1658 [where "plaintiff's emotional distress claims are based on his employer's violation of fundamental public policies of this state, such misconduct cannot be considered a normal part of the employment relationship and the plaintiff's remedy is not confined to workers' compensation"].) For the same reason, a claim for negligent infliction of emotional distress is not barred by the exclusivity rule to the extent it seeks emotional distress damages for the alleged work-related injury

discrimination. (*Fretland v. County of Humboldt* (1999) 69 Cal.App.4th 1478, 1492.)

Defendant contends that, pursuant to *Cole v. Fair Oaks Fire Protection Dist.* (1987) 43 Cal.3d 148, the decision to terminate an employee’s employment is part of the normal course of an employment relationship. However, the California Supreme Court later held that the exclusive remedy provisions of workers’ compensation applied “so long as the basic conditions of compensation are otherwise satisfied [citation], and *the employer’s conduct neither contravenes fundamental public policy* [citation] nor exceeds the risks inherent in the employment relationship [citation]....” (*Livitsanos v. Superior Court* (1992) 2 Cal.4th 744, 754, italics added; accord, *Light, supra*, 14 Cal.App.5th at p. 97.) A FEHA violation contravenes fundamental public policy.

Further, as the *Light* court pointed out, “A number of California authorities have concluded claims for intentional infliction of emotional distress in the employment context may be asserted where the actionable conduct also forms the basis for a FEHA violation.” (*Light, supra*, 14 Cal.App.5th at p. 97.) Citing to *Accardi v. Superior Court* (1993) 17 Cal.App.4th 341, the *Light* court explained the Legislature ““did not intend that an employer be allowed to raise the exclusivity rule for the purpose of deflecting a claim of discriminatory practices.”” (*Ibid.*)

ii. Plaintiff Has Alleged Extreme and Outrageous Conduct

A cause of action for intentional infliction of emotional distress exists when there is “ ‘ “(1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff’s suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant’s outrageous conduct.’ ” ” [Citations.] A defendant’s conduct is “outrageous” when it is so ““extreme as to exceed all bounds of that usually tolerated in a civilized community.”” [Citation.] And the defendant’s conduct must be ““intended to inflict injury or engaged in with the realization that injury will result.”” [Citation.]

(*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050-1051; accord, *Miller v. Fortune Commercial Corporation* (2017) 15 Cal.App.5th 214, 228-229.)

“[T]o satisfy the element of outrageous conduct necessary to a cause of action for emotional distress, a plaintiff must allege that (1) the defendant abused a relation or position which gives him power to damage the plaintiff’s interest, (2) the defendant knew that the plaintiff was susceptible to injury through mental distress, or (3) the defendant acted intentionally or unreasonably with the recognition that the acts were likely to result in illness through mental distress. [Citation.]” (*Ankeny v. Lockheed Missiles and Space Co.* (1979) 88 Cal.App.3d 531, 536.) “In order to avoid a demurrer, the plaintiff must allege with ‘great[] specificity’ the acts which he or she believes are so extreme as to exceed all bounds of that usually tolerated in a civilized community. [Citation.]” (*Vasquez v. Franklin Management Real Estate Fund, Inc.* (2013) 222 Cal.App.4th 819, 832.)

“‘There is no bright line standard for judging outrageous conduct and “... its generality hazards a case-by-case appraisal of conduct filtered through the prism of the appraiser’s values, sensitivity threshold, and standards of civility. The process evoked by the test appears to be more intuitive than analytical...”’ [Citation.]” [Citation.]’ [Citation.] Thus, whether conduct is ‘outrageous’ is usually a question of fact. [Citations.]” (*Yun Hee So v. Sook Ja Shin* (2013) 212 Cal.App.4th 652, 671-672; *Yurick v. Superior Court* (1989) 209 Cal.App.3d 1116, 1129 [“On the spectrum of offensive conduct, outrageous conduct is that which is the most extremely offensive. Depending on the idiosyncracies of the plaintiff, offensive conduct which falls along the remainder of the spectrum may be irritating, insulting or even distressing but it is not actionable and must simply be endured without resort to legal redress”].)

“‘Generally, conduct will be found to be actionable where the “recitation of the facts to an average member of the community would arouse his resentment against the actor, and lead him to exclaim, ‘Outrageous!’” [Citation.]’ [Citation.]” (*Cochran v. Cochran* (1998) 65 Cal.App.4th 488, 494; *Davidson, supra*, 32 Cal.3d at p. 209 [““Conduct to be outrageous must be so extreme as to exceed all bounds of that usually tolerated in a civilized community”].)

Plaintiff has alleged facts that Defendant’s conduct, taken together, rises to the level of extreme and outrageous conduct. More specifically, Defendant terminated Plaintiff, during the holidays, based on allegations that were false and not properly investigated. Plaintiff further alleges Defendant departed from its ordinary policy and practice for handling such allegations. In doing so,

		Defendant denied Plaintiff the opportunity to respond to the allegations, and it falsely branded Plaintiff a sexual harasser. (Complaint, ¶¶ 70-71.) After terminating Plaintiff, Defendant first denied Plaintiff unemployment benefits, then blackballed him from selling Defendant's insurance products to his clients, all of which forced Plaintiff to tell his wife about the false allegations. (Complaint, ¶¶ 70-71.) Taken together, these allegations rise to the level of extreme and outrageous conduct, which are sufficient to support Plaintiff's fourth cause of action. Plaintiff to give notice.
4	Avelar-Jauregui vs Lieban	1. <u>Motion to Compel Answers to Form Interrogatories</u> 2. <u>Motion to Compel Answers to Special Interrogatories</u> 3. <u>Motion to Compel Production</u> TENTATIVE RULING: Plaintiff Leonel Avelar-Jauregui's motions to compel Defendant Robert Alan Lieban aka Robert Alan Lieban Jr. to serve further responses to his second sets of Form Interrogatories (nos. 16.2-16.5), Special Interrogatories (no. 113), and Request for Production (nos. 50-54) are GRANTED. Defendant is ordered to serve verified further responses, and produce responsive documents, within 30 days. The Court DENIES Plaintiff's requests for judicial notice, and it deems Defendant's objections to the requests for judicial notice as being MOOT. <u>Form Interrogatory nos. 16.2-16.5</u> In his August 10, 2023 amended response to Form Interrogatory nos. 16.2 through 16.5, Defendant responded as follows: This interrogatory calls for information which seeks defendant's opinion or conclusion without establishing a proper foundation, and calls for expert opinion which defendant is not qualified to render regarding plaintiff's claimed injuries. Therefore, after a reasonable inquiry and good faith effort made, defendant responds:

	Unknown at this time. Defendant has not yet received and reviewed all of plaintiff's medical records and billings, or had plaintiff examined and/or plaintiff's medical records reviewed by a medical professional for an opinion regarding the reasonableness and necessity of his medical treatment and charges, if warranted. Discovery and investigation are continuing. (Exhibit B to Declaration of Christopher Mosier in Opposition to FROGG Motion.) Attorney Mosier explains, at the time Defendant's responses to the Form Interrogatories were prepared, there were at least two subpoenas to Plaintiff's healthcare providers still pending. (Mosier Declaration, ¶ 4.) In addition, Plaintiff's Independent Medical Examination (IME) had yet to be completed, and the parties had yet to designate experts. (Mosier Declaration, ¶ 5.) However, by attorney Mosier's own admission, Plaintiff's IME should have been completed by November 14, 2023, i.e., approximately six days before Defendant filed his Oppositions. Further, while Mosier states the two subpoenas were served on June 12, 2023 and July 26, 2023, and they were still pending at the time Defendant served his responses to the Form Interrogatories, the evidence shows the subpoenas in question were actually served on May 16, 2023 and June 28, 2023, and they required production on June 12, 2023 and July 26, 2023, respectively. (Exhibit 19 to Bakhsheshian Declaration.) Thus, unless production of the records was delayed, Defendant should already have been in possession of said records at the time he served his August 10, 2023 amended responses. In addition, Plaintiff has presented evidence that: (1) He responded to Defendant's written discovery on September 23, 2022 (2) Defendant had sent seven subpoenas for Plaintiff's medical records, including the two referenced in attorney Mosier's declaration. (3) Plaintiff was deposed March 28, 2023. (Bakhsheshian Declaration, ¶¶ 23-25; Exhibits 18-20 to Bakhsheshian Declaration.) While Defendant may have been waiting to receive additional records and information regarding Plaintiff's injuries, he had more
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than sufficient information to provide Plaintiff with a proper response to Form Interrogatory nos. 16.2 through 16.5, i.e., whether Defendant contends Plaintiff was not injured by the incident, whether Plaintiff's claimed injuries were not caused by the incident, whether any of the healthcare services, and the costs of services, Plaintiff received were not due to the incident.

The Court finds Plaintiff is entitled to a further response to Form Interrogatory nos. 16.2, 16.3, 16.4, and 16.5.

Special Interrogatory no. 113

The parties dispute whether Plaintiff is entitled to the identity of the medical facility where Defendant had his kidney removed.

First, the identity of treating physicians is not privileged, and it is subject to discovery. (*Schreiber v. Estate of Kiser* (1999) 22 Cal.4th 31, 38; *Barnes v. Superior Court In and For Los Angeles County* (1958) 163 Cal.App.2d 277, 278-279; see *Gonzalez v. Superior Court* (1995) 33 Cal.App.4th 1539, 1546 [discovery may be obtained of the discovery and location of persons having knowledge of any discoverable matter].)

For discovery purposes, information is relevant if it "might reasonably assist a party in *evaluating* the case, *preparing* for trial, or *facilitating* settlement..." [Citation.] Admissibility is *not* the test and information, unless privileged, is discoverable if it might reasonably *lead* to admissible evidence. [Citation.] These rules are applied liberally in favor of discovery [citation], and (contrary to popular belief), fishing expeditions *are* permissible in some cases. [Citation.] More specifically, the identity of witnesses must be disclosed if the witness has "knowledge of any discoverable matter," including fact, opinion and any information regarding the credibility of a witness (including bias and other grounds for impeachment). [Citations.]

(*Gonzalez, supra*, 33 Cal.App.4th 1539, 1546.)

In *Barnes*, the plaintiff filed a products liability lawsuit based on injuries she sustained from use of a liquid hair straightener defendants sold her. (*Barnes, supra*, 163 Cal.App.2d at p. 278.) At her deposition, the plaintiff was asked for the name of the family doctor she had consulted during the year prior to the incident, but she refused to provide that information based on advice of counsel. (*Ibid.*)

The *Barnes* court held the identity of that family doctor was reasonably calculated to lead to the disclosure of discoverable information, such as other persons who might have knowledge of a pre-existing condition which was the cause of plaintiff losing her hair, rather than the use of defendant's product. (*Barnes, supra*, 163 Cal.App.2d at pp. 278-279.) The *Barnes* court went on to state, "There is no suggestion or claim that the compulsory disclosure of the names of the physicians who had treated plaintiff in the past would constitute an invasion of the physician-patient privilege, and if such a claim were made it would in any event be unavailing. [Citation.]" (*Id.* at p. 279.)

Based on the holding of *Barnes*, the Court finds Plaintiff is entitled to the identity of the medical facility where Defendant had his kidney removed.

John B. v. Superior Court (2006) 38 Cal.4th 1177 is inapposite because that case dealt with whether a wife may inquire into her husband's medical records and sexual conduct in order to confirm or refute her allegations that the husband negligently infected her with HIV. While *Hill v. National College Athletic Assn.* (1994) 7 Cal.4th 1 discussed a plaintiff's interest in the privacy of his medical treatment and information, that case did not deal with the information sought here, namely, the name of a medical provider who previously treated Defendant. Thus, neither *John B.* nor *Hill* support Defendant's contention he has an absolute right to privacy in the identity of his medical providers and medical records.

As for the relevance of the identity of the medical facility where Defendant had his kidney removed, Plaintiff alleges the prior kidney removal rendered it more likely that alcohol would linger in Defendant's bloodstream for a longer period of time, such that his decision to operate a vehicle after consuming alcoholic beverages warrants the imposition of punitive damages.

While Defendant has not himself placed his medical history, or his medical condition, at issue, Plaintiff is entitled to discovery as to the identity of the healthcare professional who performed the kidney removal, as it would reasonably assist Plaintiff with evaluating the case, with preparing for trial, and with facilitating settlement.

Thus, the Court **GRANTS** the Motion as to Special Interrogatory no. 113.

Request for Production nos. 50-52

Plaintiff seeks the production of documents related to Defendant's surveillance of Plaintiff (request nos. 50-52).

Contrary to Defendant's contention, *Suezaki v. Superior Court of Santa Clara County* (1962) 58 Cal.2d 166 does not stand for the proposition that sub rosa videos obtained by its private investigator constitute work product that is not subject to discovery. Instead, even if the subject matter involved was the work product of the attorney, the *Suezaki* court held that was merely one factor the trial court should consider, together with other relevant factors, in determining whether to deny or to grant discovery in whole or in part. (*Suezaki, supra*, 58 Cal.2d at pp. 177-178.) " '[W]ork product' of the attorney is not absolutely privileged." (*Id.* at p. 178.) Instead, it is but one factor to consider in determining whether equity and justice support its discovery. (*Ibid.*)

The California Supreme Court also concluded the plaintiff was not entitled to inspect the investigative films as a matter of law. Instead, it is up to the trial court to exercise its discretion to determine whether the moving party has established good cause for its production. (*Suezaki, supra*, 58 Cal.2d at pp. 170-171, 179.) Indeed, *Suezaki* made the following observation of the trial judge's comments on the necessity of production:

"In the present case, under the showing made, the trial court found good cause to exist. . . . [A]t several points during the oral argument the trial judge stated that he was satisfied that plaintiffs had shown a need for the films both in order to protect against surprise, and in order to prepare for examination of the person who took the pictures. Such a finding is entirely consistent with the purposes of the discovery act, and supported by the showing made."

Id. at 172. In remanding to the trial court, *Suezaki* further noted: "While it would appear that inspection of the films should be permitted, the discretion granted by the statute is the discretion of the trial court, not of this court." *Id.* at 179.

In *Southern Pac. Co. v. Superior Court* (1969) 3 Cal.App.3d 195, the court of appeal disagreed with a trial court's ruling that the plaintiff was entitled to refuse to answer four interrogatories under the conditional privilege of the work product doctrine, as the facts necessary to respond to those interrogatories were gathered by a private investigator. (*Southern Pac. Co., supra*, 3 Cal.App.3d at pp. 197, 199.) The Court of Appeal held, "[s]urprise is the only

objective of withholding these facts pending the trial. That objective is contrary to the spirit and letter of the discovery statutes.” (*Id.* at p. 199.)

In this case, Plaintiff has established good cause to be entitled to inspect any surveillance materials Defendant may have obtained.

Plaintiff should be permitted to inspect the surveillance materials in order to “assess the underlying attributes of the footage ..., whether the person depicted on the video is Plaintiff, or whether the surveillance was altered in any way – the same applies to any reports or photographs. Plaintiff must also be able to explore the foundation and authenticity of the reports, photographs, and videos. In addition, without the surveillance materials it makes it nearly impossible to meaningfully depose the investigator about his surveillance methodology and what the investigator captured on the video without being able to review the reports or video footage beforehand.”

Thus, the Court finds the surveillance materials are not protected from discovery under the work product doctrine, and it is not persuaded by Defendant’s contention that his production of a privilege log is sufficient. However, if Defendant were to stipulate to the video footage being excluded at trial (if for example, the footage appeared more favorable to the plaintiff), then good cause would be lacking and it would not be subject to production.

The Court also rejects Defendant’s contention that the term “investigative reports” is vague on its face, as Defendant’s own response to request for production no. 52 shows he understood “investigative reports” to refer to any surveillance investigation Defendant may have conducted on Plaintiff.

Defendant also contends his response to request no. 51 was code-compliant, because “the mere fact that defendant has disclosed that sub rosa on plaintiff was attempted, does not mean it was successful. If defendant indeed had sub rosa videos of plaintiff, defendant would have identified such in his privilege log.”

While Defendant seems to concede that he has no surveillance videos of Plaintiff, both his response to discovery, and his Opposition, play coy as to this point. Reviewing his responses to request for production nos. 50-52 together, it appears as if Defendant is in possession of the fruits of his surveillance investigation, yet his responses to request for production nos. 50-52 make it unclear what those materials might be. Defendant’s

responses should be more complete and straightforward so that there is no ambiguity or confusion as to what Defendant may or may not possess.

The Court **GRANTS** the motion as to request for production nos. 50-52.

Request for Production nos. 53-54

Plaintiff seeks the production of the medical records pertaining to Defendant’s kidney removal (request nos. 53-54). In turn, Defendant argues he has an absolute right to privacy in the identity of his medical providers and medical records. He further contends said records are irrelevant, as he has not placed his medical history into controversy, and he has not waived his right to privacy.

Even where information may be highly relevant and non-privileged, it may still be shielded from discovery if its disclosure would impair a person’s inalienable right of privacy, as guaranteed by both the United States and California Constitutions. (*Britt v. Superior Court* (1978) 20 Cal.3d 844, 855-856; *Pioneer Electronics (USA), Inc. v. Superior Court* (2007) 40 Cal.4th 360, 370.)

However, this privilege is not absolute. In each case, the court must carefully balance the right of privacy against the need for discovery; in some cases, a simple balancing test is sufficient while, in others, a compelling interest must be shown. (*Hill v. National Collegiate Athletic Assn.* (1994) 7 Cal.4th 1, 34-35; *Williams v. Superior Court* (2017) 3 Cal.5th 531, 557 [disapproving cases that required a party seeking discovery of private information to always establish compelling interest or need, without regard to the other considerations articulated in *Hill*].) When the right to discovery conflicts with a privilege, the court “must balance the right of civil litigants to discover relevant facts against the privacy interests of persons subject to discovery.” (*Vinson v. Superior Court* (1987) 43 Cal.3d 833, 842.)

As discussed attendant to the Motion to Compel Further Responses to Special Interrogatory no. 113, Defendant’s prior kidney removal procedure is relevant because one of Plaintiff’s theories is that the prior kidney removal rendered it more likely alcohol would linger in Defendant’s bloodstream for a longer period of time, such that his decision to operate a vehicle after consuming alcoholic beverages was oppressive, fraudulent, or malicious, and that such conduct warrants the imposition of punitive damages.

		While Defendant has not himself placed his medical history, or his medical condition, at issue, a compelling interest exists to warrant discovery of this information. Namely, Plaintiff is entitled to conduct discovery on the issue of whether Defendant's prior kidney removal caused, or contributed to, this accident. In his Opposition, Defendant argues this discovery is nothing more than a fishing expedition, as there was no evidence Defendant was even intoxicated at the time of the accident. However, the point of discovery is to reasonably assist the parties with evaluating the case, preparing the trial, and with facilitating settlement. Defendant's position would prevent Plaintiff from doing so. Defendant also argues, rather than obtaining these medical records, Plaintiff can merely ask Defendant whether, after his surgery, he was ever warned to not drive after drinking. However, Plaintiff is entitled to conduct discovery, within the bounds of the Discovery Act, as he sees fit, and his ability to obtain information regarding Defendant's prior kidney removal should not be as limited as Defendant advocates for. While the parties disagree whether it will eventually be necessary to have the physician who performed the kidney removal testify at trial, such arguments are beyond the point. At this juncture, the Court finds Plaintiff has established a compelling interest to be entitled to Defendant's medical records regarding his prior kidney removal. The Court grants the Motion to Compel Further Responses to Request for Production nos. 53 and 54. <u>Sanctions</u> Under the Code of Civil Procedure, monetary sanctions against the party who unsuccessfully makes or opposes a motion to compel is mandatory, unless the Court finds the party subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. (Code Civ. Proc., §§ 2030.300, subd. (d), 2031.310, subd. (h).) The Court finds substantial justification for the opposition, and thus declines to issue sanctions. Moving party to give notice.
5	Nichols vs Pacifica Medical towers	1. <u>Motion to Compel Answers to Form Interrogatories</u>

Owners Association	2. <u>Motion to Compel Answers to Special Interrogatories</u> 3. <u>Motion to Compel Production</u> TENTATIVE RULING: Plaintiff Brent Owen Nichols, Trustee Of The Nichols Family Trust, Dated February 10, 2010 moves to compel Defendant Pacific Medical Towers Owners Association to provide full and complete verified answers, without objections, to Plaintiff’s Special Interrogatories, Set No. One and Form Interrogatories – General, Set No. 1. Defendant has not served responses to Plaintiff’s Special Interrogatories, Set No. One and Form Interrogatories – General, Set No. 1. Plaintiff’s unopposed motion is GRANTED. Due to Defendant’s failure to serve timely responses to the interrogatories, Defendant has “waive[d] any right to exercise the option to produce writings under Section 2030.230, as well as any objection to the interrogatories, including one based on privilege or on the protection for work product” (Code Civ. Proc., § 2030.290(a).) Defendant Pacific Medical Towers Owners Association shall provide responses, without objections, to Special Interrogatories, Set No. One and Form Interrogatories – General, Set No. 1 by December 20, 2023. Plaintiff’s request for sanctions is GRANTED. Defendant Pacific Medical Towers Owners Association shall pay sanctions in the amount of \$750.00 to Plaintiff Brent Owen Nichols by December 20, 2023. (See, e.g., Code Civ. Proc., § 2023.010(d); <i>id.</i> § 2030.290(c).) Plaintiff to give notice. <u>Motion to Compel Responses to Demand for Inspection and Production of Documents</u> Plaintiff Brent Owen Nichols, Trustee Of The Nichols Family Trust, Dated February 10, 2010 moves to compel Defendant Pacific Medical Towers Owners Association to provide responses to Plaintiff’s Request for Production of Documents, Set No. 1. Defendant has not served responses to Plaintiff’s Request for Production of Documents, Set No. One. Plaintiff’s unopposed motion is GRANTED. Due to Defendant’s failure to serve timely responses to the requests, Defendant has “waive[d] any objection to the demand,
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		including one based on privilege or on the protection for work product” (Code Civ. Proc., § 2031.300(a).) Defendant Pacific Medical Towers Owners Association shall produce documents and provide responses, without objections, to Plaintiff’s Production of Documents, Set No. One by December 20, 2023. Plaintiff’s request for sanctions is GRANTED. Defendant Pacific Medical Towers Owners Association shall pay sanctions in the amount of \$1,000.00 to Plaintiff Brent Owen Nichols by December 20, 2023. (See, e.g., Code Civ. Proc., § 2023.010(d); <i>id.</i> § 2031.300(c).) Plaintiff to give notice.
6	Pascual vs Huntington Valley Healthcare Center	1. <u>Petition to Compel Arbitration</u> 2. <u>Case Management Conference</u> TENTATIVE RULING: <u>Petition to Compel Arbitration.</u> Defendant Douglas Fir Holdings, dba Huntington Valley Healthcare Center moves to compel Plaintiffs Myrna Pascual, Myrine Smith, Ronald Pascual, Normal Pascual, Anthony Pascual, and Serafin Pascual, Jr., by and through his successor in interest Myrna Pascual to arbitrate the claims asserted in this lawsuit. For the following reasons, the petition is GRANTED in part and DENIED in part. <u>The Arbitration Agreement</u> The Arbitration Agreement at issue provides in pertinent part: It is understood that any dispute as to medical malpractice, that is as to whether any medical services rendered under this contract were unnecessary or unauthorized or were improperly, negligently, or incompetently rendered or not rendered, will be determined by submission to arbitration as provided by the Federal Arbitration Act, 9 U.S.C. Section 1 <i>et seq</i> (“F.A.A.”).... It is understood that any and all other disputes, controversies, demands, or claims that relate to or arise out of the provision of services by the Facility to Resident, including, but not limited to, any action for injury or death arising from negligence, wrongful death, intentional tort, or statutory causes of action ... will be determined by submissions to arbitration as provided by the F.A.A.

...

This Agreement is binding on all parties, including the Resident's personal representatives, agents, executors, family members, successors in interest, and heirs. The Resident's representatives, agents, executors, family members, successors in interest, and heirs who execute this agreement below as the "Resident's Agent" are doing so not only in their representative capacity for the Resident, but also in their individual capacity.

...

NOTICE: BY SIGNING THIS AGREEMENT YOU ARE AGREEING TO HAVE ANY ISSUE OF MEDICAL MALPRACTICE DECIDED BY NEUTRAL ARBITRATION AND YOU ARE GIVING UP YOUR RIGHT TO A JURY OR COURT TRIAL. SEE ARTICLE 1 OF THIS AGREEMENT.

NOTICE: BY SIGNING THIS AGREEMENT YOU ARE AGREEING TO HAVE ANY CLAIM OTHER THAN A CLAIM FOR MEDICAL MALPRACTICE DECIDED BY NEUTRAL ARBITRATION AND YOU ARE GIVING UP YOUR RIGHT TO JURY OR COURT TRIAL. SEE ARTICLE II OF THIS AGREEMENT.

(Dennis Dec., Ex. 1.)

The FAA Governs

The Federal Arbitration Act ("FAA"), which includes both procedural and substantive provisions, governs agreements involving interstate commerce. There is no dispute that the FAA governs enforcement of the contract here, as it states that any dispute must be determined by submission to arbitration as provided by the FAA. (Dennis Dec., Ex. 1.)

Defendants submitted an Advance Health Care Directive signed by Decedent Serafin Z. Pascual, Jr. designating Myrna Pascual as Decedent's agent to make health care decisions. Myrna's authority to make such decisions became effective "when [Decedent's] primary physician determines that I am unable to make my own health care decisions..." (Dennis Dec., Ex. 3.)

In an email dated July 6, 2023, Plaintiffs' counsel conceded "for the purposes of the motion to compel arbitration that decedent was unable to make his own healthcare decisions at the time the arbitration agreement was purportedly executed." (Wang Dec., Ex. 6.) Thus, Defendants have established Myrna's authority to bind Decedent to the arbitration agreement.

Defendants have met their burden of demonstrating the existence of a valid arbitration agreement with Plaintiff decedent. (Dennis Dec. and Wang Dec.) The motion is **GRANTED** as to the causes of action for 1) elder abuse – neglect, 3) negligence, and 4) violation of Residents’ Bill of Rights (Health and Safety Code Section 1430(b)).

Although the agreement covers Plaintiff Decedent’s claims arising out of his admission at AHC, it does not cover the wrongful death claim brought by Plaintiffs Myrine Smith, Ronald Pascual, Normal Pascual, and Anthony Pascual (the “Nonsignatory Plaintiffs”). The Nonsignatory Plaintiffs’ wrongful death claim is personal to the Nonsignatory Plaintiffs and lies independent of any survivor claims. (*Daniels v. Sunrise Senior Living, Inc.* (2013) 212 Cal.App.4th 674, 680, 683; see *Fitzhugh v. Granada Healthcare & Rehabilitation Center, LLC* (2007) 150 Cal.App.4th 469, 474.) “Generally speaking, one must be a party to an arbitration agreement to be bound by it. ‘The strong public policy in favor of arbitration does not extend to those who are not parties to an arbitration agreement, and a party cannot be compelled to arbitrate a dispute that he has not agreed to resolve by arbitration.’ ” (*Buckner v. Tamarin* (2002) 98 Cal.App.4th 140, 142.) The Nonsignatory Plaintiffs were not parties to the agreement in any capacity. Therefore, they cannot be compelled to arbitrate their wrongful death claim. (*Daniels, supra*, 212 Cal.App.4th at pp. 683-685.)

Avila v. Southern California Specialty Care, Inc. (2018) 20 Cal.App.5th 835 is instructive. In *Avila*, decedent executed a power of attorney form, naming plaintiff, his son, as his agent. (Id. at 838.) Approximately eight years after executing the power of attorney form, Decedent was transferred from another facility to the defendant, a long-term acute care hospital. (Ibid.) The day after admission, plaintiff signed a stack of documents, including an arbitration agreement, which purported to bind decedent and plaintiff for any claims relating to decedent’s hospitalization. (Ibid.) Decedent died five days after admission due to defendant’s neglect. (Ibid.)

Approximately a year after decedent’s death, plaintiff filed his complaint, asserting causes of action for negligence/willful misconduct, elder abuse, and wrongful death. (Id. at 838-839.) Defendant filed a motion to compel arbitration, which the trial court denied, concluding defendants had failed to show a valid arbitration agreement with respect to plaintiff; the trial court also exercised its discretion under section 1281.2, subdivision (c), and it

refused to order arbitration of the remaining claims, citing the risk of inconsistent rulings. (Id. at p. 839.)

The Court of Appeal affirmed, holding that *Ruiz v. Podolsky* (2010) 50 Cal.4th 838 was not controlling, as the *Avila* plaintiff's claims sounded in elder abuse, not medical/professional negligence. (*Avila, supra*, 20 Cal.App.5th at pp. 841-842.) Rejecting the defendants' attempts to distinguish *Daniels*, the *Avila* court held "What matters is not the license status of the defendant, but the basis of the claims as pleaded in the complaint. If the primary basis for the wrongful death claim sounds in professional negligence as defined by MICRA, then section 1295 applies. If, as plaintiffs claim here, the primary basis is under the Elder Abuse and Dependent Adult Civil Protection Act (Welf. & Inst. Code, § 15600 et seq.) (the Act), then section 1295 does not apply and neither does Ruiz's exception to the general rule that one who has not consented cannot be compelled to arbitrate." (*Avila, supra*, 20 Cal.App.5th at p. 842.)

While the *Avila* court acknowledged the complaint included allegations that could be categorized as either medical/professional negligence or elder abuse, it also recognized the reality that the complaint was pled under the Elder Abuse Act. "Plaintiffs, within the limits of established law, are essentially free to plead their case as they choose. They chose to plead a cause of action under the Act, and they did so successfully. The fact that they could have also pleaded a claim for medical malpractice, had they wished to do so, is irrelevant. Accordingly, we conclude the plaintiffs' claim is not one within the ambit of section 1295, and therefore, Ruiz's holding does not apply." (*Avila, supra*, 20 Cal.App.5th at p. 843.)

The *Avila* court then went on to recognize that, "In California, a wrongful death claim is an independent claim. 'Unlike some jurisdictions wherein wrongful death actions are derivative, Code of Civil Procedure section 377.60 "creates a new cause of action in favor of the heirs as beneficiaries, based upon their own independent pecuniary injury suffered by loss of a relative, and distinct from any the deceased might have maintained had he survived.'" [Citation.]" (*Avila, supra*, 20 Cal.App.5th at p. 844; *Daniels, supra*, 212 Cal.App.4th at pp. 680-681.) Since the *Avila* plaintiff signed the arbitration agreement as decedent's agent, there was no evidence he intended to waive his right to a jury trial for his personal claims; thus, the *Avila* court held the trial court did not err in finding no agreement to arbitrate existed as to the plaintiff. (*Avila, supra*, 20 Cal.App.5th at p. 845.)

		As in <i>Avila</i>, Plaintiff's Complaint alleges elder abuse, not medical malpractice, professional negligence, or common law negligence. As discussed, "If... the primary basis is under the [Elder Abuse Act], then section 1295 does not apply and neither does Ruiz's exception to the general rule that one who has not consented cannot be compelled to arbitrate." (<i>Avila, supra</i>, 20 Cal.App.5th at p. 842; <i>Daniels, supra</i>, 212 Cal.App.4th at pp. 683-684.) Therefore, the Petition is GRANTED as to the first cause of action for elder abuse – neglect, the third cause of action for negligence, and the fourth cause of action for violation of Residents' Bill of Rights (Health and Safety Code Section 1430(b)). This action is STAYED as to the second cause of action for wrongful death as to Plaintiffs Myrine Smith, Ronald Pascual, Normal Pascual, and Anthony Pascual. This court can lift the stay after the arbitrator issues his or her award. Once the arbitration award is confirmed by this court pursuant to Code Civ. Proc § 1287.6, the remaining cause of action for wrongful death can be adjudicated by this court. An ADR Review Hearing is scheduled for April 9, 2024 at 9:00 a.m. in Department N16. Defendant to give notice.
7	Asics America Corporation vs Shoebacca LTD.	Motion to Seal TENTATIVE RULING: Defendant and Cross-Complainant Shoebacca, Ltd.'s Motion to Seal Confidential Documents Filed in Support of Asics America Corporation's Answer to Shoebacca, Ltd.'s Second Amended Cross-Complaint is GRANTED. Plaintiff and Cross-Defendant Asics America Corporation's Answer to the Second Amended Cross-Complaint [ROA # 772] is sealed. The Court finds <i>Mercury Interactive Corp. v. Klein</i> (2007) 158 Cal.App.4th 60 addresses this particular issue, as information obtained from sealed and confidential discovery materials, and which are later incorporated into Plaintiff's Answer to the Second Amended Cross-Complaint, are not submitted "as a basis for adjudication," and thus do not become accessible to the public, simply by virtue of it becoming a part of the court file. (<i>Mercury, supra</i>, 158 Cal.App.4th at pp. 90, 103.)

		The <i>Mercury</i> court also held that the rules 2.550 and 2.551 of the Rules of Court, which it referred to in its opinion as the “sealed records rules,” do not apply to discovery materials that were not used at trial, and that were not used as a basis for adjudication. (<i>Mercury, supra</i>, 158 Cal.App.4th at pp. 100, 101.) Thus, there is no presumption of public access, and Defendant does not have to establish an overriding interest that would overcome the right of public access to the record. (Cal. Rules of Court, rule 2.550(d).) Moreover, allowing Plaintiff to evade the parties’ Stipulation and Protective Order, as well as the Court’s July 12, 2023 ruling that the underlying documents would be sealed, “would invite myriad discovery skirmishes,” as it would disincentivize parties from entering into protective orders that can be easily circumvented. (See <i>Mercury, supra</i>, 158 Cal.App.4th at pp. 98-99.) Plaintiff attempts to distinguish <i>Mercury</i> by arguing “unlike the factual statements supporting ASICS’ affirmative defense of fraud, the exhibits in <i>Mercury Interactive</i> ‘contain[ed] a significant amount of material other than what [was] excerpted in the Complaint,’ were ‘entirely unnecessary to the pleading,’ and were filed when the validity of the later-dismissed complaint was in question.” Plaintiff further argues that “the factual statements supporting ASICS’ affirmative defense of fraud in its Answer are not submitted in connection with a discovery motion or proceeding. Instead, they are submitted to establish the factual grounds for adjudicating ASICS’ defense to Shoenacca’s breach of contract claim.” (Opposition, 2:26-3:15.) The Court finds these arguments unavailing. It matters not whether Plaintiff attached the sealed documents to its Answer, rather than merely referencing information obtained from the same sealed documents. This is a distinction without a difference. Further, the facts alleged in an Answer, much like the allegations of a Complaint, are not submitted as a basis for the adjudication of Defendant’s claims, or Plaintiff’s affirmative defenses. (<i>Mercury, supra</i>, 158 Cal.App.4th 60, 103.) Moving party to give notice.
8	Gatewood vs The Irvine Company, LLC	Application/Request TENTATIVE RULING: <u>Motion for Determination of Good Faith Settlement.</u>

		Defendants Steger, Inc. and Casco Contractors, LLC move for an order determining that the settlement between Plaintiff and Steger and Casco was reached in good faith pursuant to Code Civ. Proc. §§ 877 and 877.6, dismissing any and all pending cross-complaints against Defendants, and barring claims against Defendants for contribution or indemnity based on the incident that is the subject of this lawsuit. For the following reasons, the unopposed motion is GRANTED. It is incumbent upon the trial court to consider and weigh the <i>Tech-Bilt</i> factors only when the good faith nature of a settlement is disputed. Where “good faith” is not contested, a “barebones” motion which sets forth the grounds of good faith and is accompanied by a declaration setting forth a brief background of the case is sufficient. (<i>City of Grand Terrace v. Superior Court</i> (1987) 192 Cal.App.3d 1251, 1261.) Defendants has satisfied this minimal burden and no party has opposed the application. Defendants’ moving papers and supporting declaration adequately set forth the nature of the case and all pertinent facts, the settling parties’ relative litigation positions, and the barebones terms of the settlement. (See Motion and Becker Declaration.) The Court finds that the \$150,000 settlement payment is a reasonable, good faith settlement amount and dismisses all Cross-Complaints asserted against Defendants and any other claims for contribution or indemnity from any other party served with this motion. Moving Parties to give notice.
9	Truong vs Tran	<u>Motion for Sanctions</u> TENTATIVE RULING: Plaintiffs/Cross-Defendants Hai Hoang Truong and Thuy Phuong Nga To move for an order dismissing the SACC of Defendant/Cross-Complainant Paul T. Nguyen. For the following reasons, the motion is DENIED. <u>Safe Harbor Provision</u> Code of Civil Procedure section 128.7 contains a 21-day safe harbor requirement within which a party can withdraw or correct the challenged filing. (See Code Civ. Proc., § 128.7, subd. (c)(1).)

“The purpose of the safe harbor provision is ‘to conserve judicial resources otherwise spent adjudicating a sanctions motion by affording a prescribed period of time during which a party may correct or withdraw a frivolous or improper pleading or motion without any penalty. [Citation.] If the merits of the objectionable document are resolved by the court prior to the expiration of the safe harbor period, there is nothing left to correct or withdraw, thereby undermining the remedial purpose of the safe harbor provision.’ [Citation.]” (*Changsha Metro Group Co., Ltd. v. Peng Xufeng* (2020) 57 Cal.App.5th 1, 9, review denied, (Feb. 17, 2021).) At the time of such service, the motion must set forth the hearing date. (*Galleria Plus, Inc. v. Hanmi Bank* (2009) 179 Cal.App.4th 535, 538.) There is no requirement that the motion be served again upon filing with the court. (Code Civ. Proc., § 128.7, subd. (c)(1).)

The court finds Cross-Defendants complied with the safe harbor provision. (See Mot. [ROA 195] at Caption page and POS.)

Motions for Sanctions Pursuant to Code of Civil Procedure 128.7

By presenting a pleading to the court, an attorney or unrepresented party is certifying that, to the best of the person’s knowledge, information and belief, formed after an inquiry reasonable under the circumstances that all of the following conditions are met: (1) it is not being presented primarily for an improper purpose; (2) the claims, defenses, or other legal contentions are warranted by existing law or by a nonfrivolous argument for the extension, modification or reversal of existing law or the establishment of new law; (3) the allegations and other factual contentions have evidentiary support, or if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery; and (4) the denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on a lack of information or belief. (Code Civ. Proc. § 128.7, subd. (b).)

If a pleading does not meet those conditions, a party may bring a motion for sanctions. (Code Civ. Proc. § 128.7, subd. (c)(1).) The purpose of permitting such a motion is remedial, not punitive. The goal is not to punish the offender but to promote compliance and deter frivolous filings. (*Malovec v. Hamrell* (1990) 70 Cal.App.4th 434, 440.)

If, after notice and a reasonable opportunity to respond, the court determines that Section 128.7(b) has been violated, the court may,

subject to the certain conditions, impose an appropriate sanction upon the attorneys, law firm, or parties that have violated Section 128.7(b) or are responsible for the violation. (Code Civ. Proc., § 128.7, subd. (c).) The determination of violation is made under an objective standard. (*Bockrath v. Aldrich Chem. Co., Inc.* (1999) 21 Cal.4th 71, 82.) A claim is “objectively unreasonable” if any reasonable attorney would agree that it is totally and completely without merit. (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440.) It is not necessary for the moving party to show that the party presenting the deficient pleading acted with an improper motive or subjective bad faith; but the fact that a party does not actually believe in the merits of his or her claim is relevant to the issue whether sanctions are warranted in a particular case. (*Peake, supra*, 227 Cal.App.4th at 449.) In determining what sanctions, if any, should be ordered, the court shall consider whether a party seeking sanctions has exercised due diligence. (Code Civ. Proc., § 128.7, subd. (c).)

Whether to grant sanctions under section 128.7 is subject to the court’s discretion. (*Kojababian v Genuine Home Loans, Inc.* (2009) 174 Cal.App.4th 408, 420-422.) Sanctions under 128.7 are “‘made with restraint’ . . . and are not mandatory even if a claim is frivolous.” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 448 [citations omitted].)

Second Amended Cross-Complaint

The operative SACC pleads causes of action for (1) breach of contract; (2) breach of contract; (3) cancellation of instruments; (4) declaratory relief; and (5) fraud.

Cross-Defendants contend each claim in the operative SACC lacks legal and factual merit.

This court ruled on the legal merit of these claims, overruling Plaintiffs’ demurrer to the SACC. (*See* ROA 206 [10/25/2023 Minute Order].) As such, the only remaining issue is the factual merit of the claims.

Lacking factual merit alone does not justify the imposition of sanctions. “[W]hen determining whether sanctions should be imposed, the issue is not merely whether the party would prevail on the underlying factual or legal argument. Instead, courts should apply an objective test of reasonableness, including whether ‘any reasonable attorney would agree that [the claim] is totally and completely without merit.’ [Citations.] Thus, the fact that a

plaintiff fails to provide a sufficient showing to overcome a demurrer or to survive summary judgment is not, in itself, enough to warrant the imposition of sanctions. [Citations.]” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 448.)

Here, Cross-Defendants do not show that the claims are “totally and completely without merit.”

First Cause of Action (Breach of Contract)

The first cause of action alleges that Cross-Defendants breached the parties’ 12/04/2019 Purchase Agreement by taking title to the Subject Property by failing to assume, refinance in their own names, or pay off the debt on the property. (SACC ¶¶ 26-29.) The SACC does not attach a copy of the 12/04/2019 Purchase Agreement, but the verified FAC attaches the parties’ purchase agreement (the “Purchase Agreement”). (FAC, Ex. 1.) The Purchase Agreement does not include an express term that Cross-Defendants assume, refinance in their own names, or pay off the debt on the property. (See FAC, Ex. 1.) Nevertheless, a reasonable attorney could argue that leaving Cross-Complainant Tran on the mortgage indefinitely deprives him of the benefits of the Purchase Contract and, therefore, breaches the implied covenant of good faith and fair dealing. (*Harm v. Frasher* (1960) 181 Cal.App.2d 405, 417 [holding that “[t]here is implied in every contract a covenant by each party not to do anything which will deprive the other parties thereto of the benefits of the contract. . . . This covenant not only imposes upon each contracting party the duty to refrain from doing anything which would render performance of the contract impossible by any act of his own, but also the duty to do everything that the contract presupposes that he will do to accomplish its purpose”]; see also *Jenkins v. JPMorgan Chase Bank, N.A.* (2013) 216 Cal.App.4th 497, 524–525, as modified (June 12, 2013) disapproved on other grounds by *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919.)

Second Cause of Action (Breach of Contract)

The second cause of action alleges that Cross-Defendants breached an agreement to assume ownership responsibility of the Sunnova solar panel system installed at the property. (SACC ¶¶ 32-36.)

Cross-Defendants do not show this claim lacks factual support. Cross-Defendants reference evidence that Cross-Complainant did not disclose the Sunnova solar panel financing (see Mot. at 13:1-2 [citing FAC ¶ 11]) and that he would continue to pay until Buyer

Truong “want[s] to change the name on the electric bill for SUN SOLAR” (Mot. at 13:8-10 [citing FAC, Exs. 15, 17]), but the cited evidence does not necessarily preclude a claim that Cross-Defendants expressly agreed to assume responsibility for the solar panel system—or a reasonable argument that the Cross-Defendants’ failing to assume responsibility breached the implied covenant of good faith and fair dealing.

Third Cause of Action (Cancellation of Instruments)

The third cause of action alleges that the Grant Deed transferring the Subject Property to Cross-Defendants is null and void. (SACC ¶¶ 39-48.) Specifically, Cross-Complainant Tran alleges he was fraudulently induced to convey the Property based on misrepresentations by Truong that while he could afford to purchase and/or refinance the property (SACC ¶ 40), he could not secure refinancing because he was not on title to the property. (SACC ¶ 42.)

Cross-Defendants contend the parties’ agreement provides for Cross-Complainant to remain on the mortgage, that he suffered no damage and never attempted to terminate the agreement. (See Mot. at pp. 14-15.) These contentions, even if true, do not preclude the claim for cancellation of instruments based on fraud.

Fourth Cause of Action (Declaratory Relief)

The fourth cause of action seeks declaratory judgment on the parties’ rights and obligations as to the Subject Property as well as under the Purchase Contract and Agreement. (SACC ¶ 53.)

Cross-Defendants contend Cross-Complainant cannot allege an actual, present controversy. (Mot. at 16:25-26.) The declaratory relief claim, however, is based on the same underlying controversies in the first three causes of action. As discuss above, Cross-Defendants do not show those causes of action lack factual merit.

Fifth Cause of Action (Fraud)

The fifth cause of action alleges that Cross-Defendants falsely promised to timely assume, refinance, or pay off the existing debt on Subject Property (SACC ¶ 59) and made false representations to induce Tran to transfer title of the Subject Property to Cross-Defendants (see SACC ¶¶ 40, 42).

		Cross-Defendants contend they have done everything required of them under the parties’ agreements—including paying Mr. Tran \$237,846.29, sending monthly checks to cover the monthly mortgage payment, all utilities, and maintenance and taxes. (Mot. at 17:26-18:10.) Cross-Defendants also contend that it was Mr. Tran whose misconduct has damaged Cross-Defendants. (Mot. at 18:11-27, 19:9-15.) These facts do not preclude a claim based on fraud based on the misrepresentations alleged in the SACC. The court DENIES Cross-Complainant’s requests monetary sanctions in the amount of \$15,000, pursuant to Code of Civil Procedure section 128.5. (Opp. at 12:1-13:12.) Cross-Complainant fails to show compliance with the safe harbor provision in Section 128.5, subdivision (f)(1)(B). The court OVERRULES Cross-Complainant’s evidentiary objections. Objections (D), (E), (F), and (G) relate to non-evidentiary “Arguments” (see Objs. at 2:18) and a purported Compendium that is not part of the court record (see Objs. at 3:1-3). Cross-Complainant to give notice.
10	FLX Lighting, Inc. vs. P.D. Electric, Inc.	1. <u>Motion for Summary Judgment and/or Adjudication</u> 2. <u>Case Management Conference</u> TENTATIVE RULING: Plaintiff FLX Lighting, Inc., moves for summary judgment in its favor and against Defendants P.D. Electric, Inc., Peter DeFilippo, and Craig DiFilippo, on the Complaint. For the following reasons, the motion is DENIED. A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” (<i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (<i>Id.</i> at p. 851.) A plaintiff moving for summary judgment satisfies his or her initial burden by showing that each element of the cause of action in question has been “proved,” and hence that there is no defense thereto. (<i>Id.</i>, at p. 850.) A party cannot establish a prima facie

entitlement to summary judgment without showing both the fact *and the amount of damages*. (*Pajaro Valley Water Management Agency v. McGrath* (2005) 128 Cal.App.4th 1093, 1106)

Once the moving party meets that burden, the burden shifts to the party opposing summary judgment to show, by reference to specific facts, the existence of a triable issue as to an affirmative defense or cause of action. (*Aguilar, supra*, 25 Cal.4th at p. 855; *Villacres v. ABM Industries, Inc.* (2010) 189 Cal.App.4th 562, 575.)

In ruling on a motion for summary judgment, the court must “consider all of the evidence” and all of the “inferences” reasonably drawn therefrom [citing Code Civ. Proc., § 437c, subd. (c)] and must view the evidence and inferences “in the light most favorable to the opposing party.” (*Aguilar, supra*, 25 Cal.4th at p. 843.) A court may not make credibility determinations or weigh the evidence on a motion for summary judgment, and all evidentiary conflicts are to be resolved against the moving party. (*McCabe v. American Honda Motor Corp.* (2002) 100 Cal.App.4th 1111, 1119.) The moving party’s papers are to be strictly construed, while the opposing party’s papers are to be liberally construed. (*Committee to Save Beverly Highland Homes Ass’n v. Beverly Highland* (2001) 92 Cal.App.4th 1247, 1260.)

Breach of Contract

Plaintiff’s sole cause of action alleges Defendants breached a 11/04/2022 promissory note by failing to make the payments due, and that Plaintiff is owed the total balance of the note, \$63,993.48.

The elements of a cause of action for breach of contract are: (i) existence of the contract; (ii) Plaintiff’s performance or excuse for nonperformance; (iii) Defendant’s breach; and (iv) damage to plaintiff resulting therefrom. (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811.)

Here, the existence of the parties’ contract is undisputed. (*See* Defs.’ Sep. St. No. 1.) There are, however, disputed facts as to whether Plaintiff performed the obligations under the Note and/or the amount of damages. (*See* Defs.’ Sep. St. No. 2 [and evidence cited therein].) The Note provides that Defendant P.D. Electric will pay Plaintiff a total amount of \$63,993.48 “for product materials received.” (*See* Pltf.’s Sep. St. No. 2.) Defendants submit evidence that Plaintiff did not, in fact, provide \$63,993.48 worth of product materials. (*See* DiFilippo Decl. ¶ 8, Exs. A-B.) In other words,

		Plaintiff did not “lend” the value of products it never provided to Defendant P.D. Electric. Plaintiff’s evidentiary objection Nos. 1-2 are OVERRULED. The remainder of the objections are not material to the disposition of this motion. (Code Civ. Proc., § 437c, subd. (q).) Defendants to give notice.
11	Sanders vs. Pham	<u>Motion for Sanctions</u> 1. Motion for Summary Judgment and/or Adjudication 2. Case Management Conference TENTATIVE RULING: A. General Principles re MSJs A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” (<i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (<i>Id.</i>, at p. 851.) A defendant moving for summary judgment satisfies his or her initial burden by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc. (“CCP”), § 437c(p)(2).) The scope of this burden is determined by the allegations of the plaintiff’s complaint. (<i>FPI Development, Inc. v. Nakashima</i> (1991) 231 Cal.App.3d 367, 381–82 [pleadings serve as the outer measure of materiality in a summary judgment motion]; <i>580 Folsom Associates v. Prometheus Development Co.</i> (1990) 223 Cal.App.3d 1, 18–19 [respondent only required to defeat allegations reasonably contained in the complaint].) A cause of action “cannot be established” if the undisputed facts presented by the defendant prove the contrary of the plaintiff’s allegations as a matter of law. (<i>Brantley v. Pisaro</i> (1996) 42 Cal.App.4th 1591, 1597.) Alternatively, a moving defendant can show that a cause of action “cannot be established” by submitting evidence—such as discovery admissions and responses—that the plaintiff does not have and cannot reasonably obtain evidence to establish an essential element of his cause of action. (<i>Aguilar v. Atlantic Richfield Co.</i> (1995) 25 Cal.4th at 854-55; <i>see also Union Bank v. Super. Ct.</i> (1995) 31 Cal.App.4th 573, 590 [finding

moving defendant may show plaintiff's lack of evidence by factually devoid discovery responses after plaintiff has had adequate opportunity for discovery]; *Scheiding v. Dinwiddie Const. Co.* (1999) 69 Cal.App.4th 64, 80-81 [finding Union Bank rule only applies where discovery requests are broad enough to elicit all such information]; *Weber v. John Crane, Inc.* (2006) 143 Cal.App.4th 1433, 1441-42 [same].)

Once the moving party meets that burden, the burden shifts to the party opposing MSJ to show, by reference to specific facts, the existence of a triable issue as to that affirmative defense or cause of action. (*Id.*; *Villacres v. ABM Industries, Inc.* (2010) 189 Cal.App. 4th 562, 575.) To meet this burden, the opposing party must present substantial and admissible evidence creating a triable issue. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163.) Theoretical, imaginative, or speculative submissions are insufficient to stave off summary judgment. (*Doe v. Salesian Society* (2008) 159 Cal.App.4th 474, 481; *Bushling v. Fremont Med. Center* (2004) 117 Cal.App.4th 493, 510.)

The moving party's papers are to be strictly construed, while the opposing party's papers are to be liberally construed. (*Committee to Save Beverly Highland Homes Ass'n v. Beverly Highland* (2001) 92 Cal.App.4th 1247, 1260.)

B. First Cause of Action (Professional Negligence) – DENY

Plaintiff alleges that Defendant negligently performed the placement of his permanent crown on August 6, 2021, causing Plaintiff numbness in his face.

The elements for a cause of action for professional negligence are the same as that of negligence: (i) that defendants had a legal duty to use due care; (i) a breach of such legal duty; and (iii) the breach as the proximate or legal cause of the resulting injury. (*Flowers v. Torrance Memorial Hosp. Med. Ctr.* (1994) 8 Cal.4th 992, 997-998; *Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.)

MICRA (the Medical Injury Compensation Reform Act) defines "professional negligence" as "a negligent act or omission to act by a health care provider in the rendering of professional services, which act or omission is the proximate cause of a personal injury or wrongful death, provided that the services are within the scope of services for which the provider is licensed and which are not within any restriction imposed by the licensing agency or licensed hospital." (Bus. and Prof. Code, § 6146(c)(3); see also *Central Pathology Service Med. Clinic, Inc. v. Super. Ct.* (1992) 3 Cal.4th

181, 187.) Whether a defendant healthcare provider breached a duty owed to the plaintiff patient rests on whether that provider complied with the standard of care in treating the patient. (*Munro v. Regents of the University of California* (1989) 215 Cal.App.3d 977, 983.) The requisite standard of care is determined by the applicable standard then existing in a particular professional community. (*Jambazian v. Borden* (1994) 25 Cal.App.4th 836, 844.) Specifically, a health care provider is required only to exercise “that reasonable degree of skill, knowledge, and care ordinarily possessed and exercised by a member of the medical profession under similar circumstances.” (*Munro, supra*, 215 Cal.App.3d at pp. 983-84.)

Here, Defendant fails to meet the initial burden of proof to show Plaintiff cannot establish a claim for professional negligence. “In professional malpractice cases, expert opinion testimony is required to prove or disprove that the defendant performed in accordance with the prevailing standard of care [citation], except in cases where the negligence is obvious to laymen. [Citation.]” (*Kelley v. Trunk* (1998) 66 Cal.App.4th 519, 523; *Garibay v. Hemmat* (2008) 161 Cal.App.4th 735, 741 (*Garibay*).) In order to testify as an expert in a medical malpractice case, a person must have enough knowledge, learning and skill with the relevant subject to speak with authority, and he or she must be familiar with the standard of care to which the defendant was held. (Evid. Code, § 720 (a); *Avivi v. Centro Medico Urgente Med. Ctr.* (2008) 159 Cal.App.4th 463, 467.) The expert opinion must be supported by reasoned explanation. (*Kelley v. Trunk* (1998) 66 Cal.App.4th 519, 525 [“The standard necessary on summary judgment “is not satisfied by laconic expert declarations which provide only an ultimate opinion, unsupported by reasoned explanation.”].) (*Id.*)

While Defendant’s expert Dr. Alan Shelhamer is qualified, his expert opinion, however, is not supported by reasoned explanation. (*Kelley v. Trunk* (1998) 66 Cal.App.4th 519, 525.) After reciting Plaintiff’s dental history—which is substantially similar to what Defendant’s statement of facts and the “patient notes” for Plaintiff state—Dr. Shelhamer opines in conclusory terms that Defendant did not violate any applicable standard of care.

“In professional malpractice cases, expert opinion testimony is required to prove or disprove that the defendant performed in accordance with the prevailing standard of care [citation], except in cases where the negligence is obvious to laymen. [Citation.]” (*Garibay v. Hemmat* (2008) 161 Cal.App.4th 735, 741.)
“Although hospital and medical records are hearsay, they can be

admitted under the business records exception to the hearsay rule.” (*Id.* at 742.) Evidence Code section 1271 states the business records exception to the hearsay rule: “Evidence of a writing made as a record of an act, condition, or event is not made inadmissible by the hearsay rule when offered to prove the act, condition, or event if:

“(a) The writing was made in the regular course of a business;

“(b) The writing was made at or near the time of the act, condition, or event;

“(c) The custodian or other qualified witness testifies to its identity and the mode of its preparation; and

“(d) The sources of information and method and time of preparation were such as to indicate its trustworthiness.”

(*Id.*)

Without testimony providing for authentication of such medical records, an expert’s has no evidentiary basis. (*Id.* at 742.)

“Consequently his expert medical opinion on whether defendant Hemmat met the standard of care had no evidentiary value.” (*Id.*)

An “expert opinion may not be based on assumptions of fact that are without evidentiary support or based on factors that are speculative or conjectural, for then the opinion has no evidentiary value and does not assist the trier of fact.” (*Id.* at 742-743.)

“Although experts may properly rely on hearsay in forming their opinions, they may not relate the out-of-court statements of another as independent proof of the fact.” (*Id.* at 743.)

Here, the court notes that Defendant does not offer a declaration explaining her version of events from her own personal knowledge. Nor does Defendant cite to any of her own deposition testimony regarding what occurred on August 6, 2021. Instead, Defendant provides a general declaration that merely states in conclusionary form:

3. I have reviewed the records to be lodged in support of this motion and attest that these include true and correct copies of my office’s (Oceanic Dental) original electronic medical records and imaging for Plaintiff ROBERT SANDERS.

4. These records were prepared by myself and my staff in the regular course of a business at or near the time of the act, condition, or event described therein.

5. I am qualified to testify to the identity and the mode of preparation of these records.

(Mvg. Pham Decl., ¶¶ 3-5.) This testimony is insufficient to qualify for the hearsay exception under Evid. Code 1271. Pham fails to specifically identify each category of documents she is authenticating, fails to describe how these records are recorded, stored and the mode of preparation (e.g., in writing, in a database, etc.), or the sources of information, the method, or the time of the preparation to indicate any trustworthiness. Pham does not describe any pattern or practice that is used, who the preparers are, and/or what Pham does to sure its trustworthiness. The entire basis of Defendant’s version of facts are the patient notes—there is no testimony with any person with personal knowledge that verifies the facts stated in those patient notes occurred. Further, the patient notes do not state with any specificity the timing of events of August 6, 2021—i.e., whether or not anesthesia was injected prior to the placement of the crown or, as Plaintiff testifies, injections occurred feverishly only after the crown was placed and Plaintiff expressed pain. Because the underlying dental records have not been properly authenticated, an expert’s opinion has not evidentiary basis. Defendant has failed to offer sufficient evidence to show that the underlying assumptions on which her expert bases his opinions are shown through admissible evidentiary support.

It is also unclear what the reasonable basis is for Shelhamer’s opinion. For example, he opines that the administration of anesthesia was within the proper standard of care. Given the general nature of Shelhamer’s testimony, however, while Shelhamer states that he has reviewed Plaintiff’s deposition testimony, it is unclear whether or not Shelhamer opines that injecting anesthesia after the placement of the crown is proper or not—i.e., whether or not his opinion was based on Plaintiff’s account of the version of events or not. If Plaintiff’s version and sequence of events is true, would Shelhamer still opine that Defendant’s conduct was within the standard of care and/or that Defendant’s conduct did not cause Plaintiff’s alleged injury. If yes, what is the reasonable basis for that testimony?

As such, the court finds that Defendant has failed to meet her initial burden on summary judgment. The motion is **DENIED**.

C. Evidentiary Rulings

Plaintiff’s objection to the propriety of Defendant’s separate statement is **OVERRULED**.

Plaintiff’s objections to the declaration of Krystal Pham are ruled on as follows:

		• SUSTAIN: 2, 3, 4 5 • OVERRULE: 6 Plaintiff's objections to the declaration of Robert J. Sanders are ruled on as follows: • SUSTAIN: 7, 8, 9 • OVERRULE: 3, 4, 5, 6 Plaintiff's objections to the declaration of Danielle Hicks is ruled on as follows: • SUSTAIN: 3 Plaintiff to give notice of each of the above rulings.
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